

EFOS GLOBAL FINANCE HACKATHON 2026

Presented by:

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Track: 4, Global Finance Strategy

Problem Statements:

case 2: India- to- Global Expansion

case 3: Currency and Forex Risk Management

case 4: International Investment Decision

case 5: cross border tax strategy



ATHER ENERGY INTERNATIONAL EXPANSION STRATEGY

Cross-Border Capital Budgeting, Tax Optimization & Forex Hedging Masterplan

STRATEGIC RECOMMENDATION

Dual-Hub Model

Phase 1: UAE CKD Hub (\$15M CapEx)

Phase 2: Vietnam Greenfield Plant (\$25M CapEx)

CAPITAL EFFICIENCY

\$36.48M Combined NPV

Blended IRR: 38.4% vs 14.0% Hurdle Rate.

Payback: UAE 2.3 Yrs | Vietnam 2.8 Yrs

RISK & TAX SHIELD

76.22% Net Repatriation Yield

100% DTAA Article 12 FTC Utilization.

1-Month 95% FX VaR Hedges Exposure (\$213.7K Limit).

Integrated Multi-Case Strategy Framework

Simultaneous execution across four core global corporate finance pillars.

 CASE 2: MARKET ENTRY & GTM

India-to-Global Expansion

- **Target Markets:** Vietnam (SE Asia Hub) & UAE (GCC/MENA Hub).
- **Market Need:** Massive 2W density in Vietnam; accelerating EV mandates in UAE.
- **GTM Architecture:** Hybrid Direct-to-Consumer + Commercial Fleet distribution.

 CASE 4: CAPITAL BUDGETING

International Valuation Engine

- **Vietnam Greenfield:** \$25M CapEx, 12.75% WACC (2.5% CRP), NPV \$21.67M.
- **UAE CKD Facility:** \$15M CapEx, 12.26% WACC (1.0% CRP), NPV \$14.81M.
- **Decision Metric:** Positive XNPV & XIRR with dynamic 5-year FCF modeling.

 CASE 3: FOREX RISK MANAGEMENT

Currency & Forex Hedging

- **Exposure Mapping:** INR cost base vs VND & AED revenue generation.
- **Quantitative Risk Metric:** 1-Month 95% FX VaR (\$213.7K) & 99% VaR (\$302.2K).
- **Hedging Program:** Layered Forwards (60%) + Zero-Cost Collars (25%).

 CASE 5: CROSS-BORDER TAX

Tax & Transfer Pricing Optimization

- **Transfer Pricing:** Arm's length 12.5% cost-plus markup on CKD kits.
- **Tax Shield:** Vietnam high-tech 10% tax rate vs UAE 9% corporate rate.
- **Repatriation:** 10% WHT fully credited under DTAA Article 12 (Section 90).

CASE 2 FOCUS

Market Screening & Go-To-Market Architecture

STRATEGIC METRIC	VIETNAM (SE ASIA HUB)	UAE (GCC / MENA HUB)	CFO STRATEGIC RATIONALE
Addressable Market (TAM)	3.2 Million 2W Units / Year	180,000 2W Units / Year	Vietnam delivers volume scale; UAE delivers high gross margins
EV Penetration Target (2030)	35.0% (Govt Directive 87)	20.0% (Dubai Green Mobility)	Policy-driven tailwinds reduce user acquisition cost
Average Selling Price (ASP)	\$1,850 (Ather 450S equivalent)	\$3,200 (Ather 450X Apex)	UAE commands 73% premium hardware pricing
Import Tariffs & Taxes	45% CBU Tariff / 10% CKD Duty	0% GCC Customs Duty on CKD	Dictates CKD assembly in UAE and localized hub in Vietnam
GTM Distribution Model	Direct Experience Centers + Dealers	B2B Delivery Fleets + Flagship Retail	Fleet contracts (Talabat/Deliveroo) guarantee early volume

HIGH-MARGIN SOFTWARE SAAS EXPANSION (ATHERSTACK ARR)

Every vehicle includes a mandatory \$12/month (\$144/year ARR) software subscription at an 85% gross margin. This software layer increases 5-year LTV by \$620 per unit and enhances combined project IRR by +380 bps.

CASE 4 FOCUS

Capital Budgeting & Valuation Model

VIETNAM WACC

12.75%

Ke: 16.18% | Kd: 9.5% | CRP: 2.5%

VIETNAM NPV / IRR

\$21.67M

IRR: 37.20% | Payback: 2.8Y

UAE WACC

12.26%

Ke: 14.68% | Kd: 8.5% | CRP: 1.0%

UAE NPV / IRR

\$14.81M

IRR: 39.91% | Payback: 2.3Y

CASH FLOW LINE ITEM (\$M)	YEAR 0	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5
Vietnam Greenfield CapEx	-\$25.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
Vietnam FCFF (Unlevered)	\$0.00	\$6.20	\$9.80	\$14.50	\$18.20	\$22.00
Vietnam DCF (12.75%)	-\$25.00	\$5.50	\$7.70	\$10.11	\$11.26	\$12.10
UAE CKD Facility CapEx	-\$15.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
UAE FCFF (Unlevered)	\$0.00	\$4.10	\$6.50	\$9.20	\$11.00	\$13.50
UAE DCF (12.26%)	-\$15.00	\$3.65	\$5.15	\$6.49	\$6.91	\$7.61

CASE 3 FOCUS

Currency & Forex Risk Management Framework

1-MONTH VALUE AT RISK (VAR) ENGINE

Exposure Base: \$10,000,000 Net Foreign Exposure (USD/VND)

Volatility: Monthly Vol = 1.30% (4.5% Annualized)

95% CONFIDENCE VAR

\$213.69K

Z-Score: 1.645

99% CONFIDENCE VAR

\$302.16K

Z-Score: 2.326

CFO Takeaway: There is a 5% probability that exchange rate losses exceed \$213.7K in any month, requiring systematic derivative hedging.

THREE-TIER HEDGING STRATEGY

1. Layered Forward Contracts (60% Coverage)

Lock in 1-6 month forward rates for committed CKD component imports from Hosur, eliminating transaction exposure on core operational costs.

2. Zero-Cost Option Collars (25% Coverage)

Buy put options (floor at -2% currency drop) funded by selling call options (cap at +4% gain), creating zero net cash premium payout.

3. Natural Operational Netting (15% Coverage)

Match VND revenue against local operating expenses and supplier sourcing within Vietnam to naturally insulate cash flows.

CASE 5 FOCUS

Cross-Border Tax & Transfer Pricing Strategy

TAX & REPATRIATION STEP	VIETNAM SUB (\$M)	STATUTORY / DTAA REFERENCE
Subsidiary Pre-Tax EBT	\$10.00M	Local Operating Profit
Local Corporate Tax Paid	-\$2.00M	20% Statutory Rate (10% High-Tech)
Royalty / IP Fee to Parent	\$1.50M	5.0% Royalty on Gross Revenues
DTAA Withholding Tax (WHT)	-\$0.15M	10.0% WHT (India-VN DTAA Art. 12)
Gross Indian Corporate Tax	\$0.378M	25.17% Effective Rate in India
Foreign Tax Credit (FTC) Claimed	-\$0.150M	Section 90 Full Tax Offset
Net Cash Repatriated to India	\$7.622M	76.22% Net Yield

OECD & TRANSFER PRICING SHIELD

Arm's Length Cost-Plus 12.5%

CKD components exported from Hosur parent priced at cost + 12.5% markup, fully aligned with OECD guidelines.

AtherStack IP Royalty (5%)

10% WHT paid in Vietnam is 100% credited against Indian tax under Section 90, preventing double taxation.

Zero OECD Pillar 2 Tax Leakage Penalty

Sensitivity Grid & Scenario Stress-Testing

VIETNAM NPV SENSITIVITY GRID (\$M) [WACC VS TERMINAL GROWTH G]

WACC \ g	1.50%	2.00%	2.50%	3.00%	3.50%
11.50%	\$25.10	\$26.35	\$27.80	\$29.45	\$31.30
12.00%	\$23.20	\$24.30	\$25.50	\$26.90	\$28.45
12.75% *	\$20.80	\$21.15	\$21.67	\$22.85	\$24.10
13.50%	\$18.10	\$18.90	\$19.80	\$20.75	\$21.80
14.00%	\$16.50	\$17.20	\$18.00	\$18.85	\$19.80

* Base Case highlighted: \$21.67M NPV at 12.75% WACC and 2.50% g.

BULL CASE (Accelerated EV Adoption)

NPV: \$52.10M | IRR: 46.2%

EV market share hits 45% in Vietnam; UAE fleet demand doubles. High-tech tax incentive (10%) granted.

BASE CASE (Modeled Expectations)

NPV: \$36.48M | IRR: 38.4%

Steady 22% 5-Yr CAGR in revenue. Transfer pricing cost-plus 12.5% maintained across all channels.

BEAR CASE (Currency Shock & Supply Strain)

NPV: \$18.30M | IRR: 24.5%

USD/VND depreciates 8%, CapEx increases +15%. Combined project remains NPV-positive, demonstrating strong margin cushion.

STRATEGIC EXECUTION

Executive Verdict & Implementation Roadmap

PHASE 1: UAE LAUNCH (Q4 2026 - Q1 2027)

\$15.0M CapEx Deployment

- Set up CKD Assembly Hub in Dubai Free Zone.
- Finalize B2B delivery fleet agreements.
- Launch Ather 450X Apex (\$3,200 ASP).

PHASE 2: VIETNAM PLANT (Q2 2027 - Q4 2027)

\$25.0M CapEx Deployment

- Lease industrial site in Binh Duong Tech Park.
- Construct Greenfield EV Scooter Plant.
- Secure High-Tech 10% corporate tax status.

PHASE 3: SCALE & HEDGING (Q1 2028+)

Full Commercial Operations

- Scale production to 120,000 units/year.
- Execute Zero-Cost Collar FX hedges.
- Repatriate cash under Section 90 FTC.



CFO FINAL VERDICT: CLEAR 'GO' DECISION

- 1. Exceptional Returns:** Combined expansion yields \$36.48M NPV and 38.4% IRR, outperforming the 14% Hurdle Rate by +2,440 bps.
- 2. Phased De-Risking:** Quick payback from UAE CKD (2.3Y) funds Vietnam Greenfield (2.8Y), reducing net equity burden.
- 3. Institutional Protection:** Integrated DTAA tax optimization and FX VaR hedging protect gross operating margins against external macro shocks.